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The corporate social credit system in China and its transnational impact

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ABSTRACT
The Social Credit System (SCS) is on the verge of becoming a new regulatory reality. The CCP is changing its governance tools by combining social management and big data. This article provides an overview on the possible impact of the SCS on corporations (CSCS) and analyses its potential extraterritorial effects. The role of transnational law (TL) as a political project is discussed and TL is thus a subject of this paper. Yet, concepts of TL are also used methodologically, as an analytical framework, to make subtle extraterritorial effect and potential legal change visible. The paper places the CSCS in the centre of the analysis and considers technological development, a changing geopolitical landscape, economic interdependence and the behaviour of individuals. The CSCS is an emerging example of the strategic and flexible norm diffusion of powerful states—which underlines the importance of TL as a problem orientated and border-transcending analytical framework.

KEYWORDS Social credit system; corporate regulation; transnational law; practical change; interdependence networks

1. The CSCS—where technological development, national regulation and transnational impact meet

It is no news that the Chinese Communist Party (CCP)[1] aspires to gain influence within the international system. The Belt and Road Initiative is by now a well-known example. Yet, this article aims to describe how the People's Republic of China (PRC) could gain influence in international corporate regulation by using algorithmic governance, the Social Credit System (SCS), as well as the global economy and interdependence hubs. New technologies, a momentum of political change, the mechanics of globalisation as well as the growing international weight of China

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[1] The terms China, Peoples Republic of China (PRC) and Chinese Communist Party (CCP) are used to describe the current government of China under General Secretary Xi Jinping. 'China' is not intended to refer to the country itself with the entirety of its peoples and cultures.

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allow the country to influence 'the construction and flow of legal norms'[2] outside its legislative jurisdiction. The world economy is increasingly dependent on the Chinese market and corporations seek the potential profits that can be made in this market.[3] Via the market, corporations are increasingly affected by the Chinese political system and geopolitical tensions.[4] This is similar, yet not identical, to the asymmetry of power which has been working to the benefit of the Northern American and European states—and their ability to use law for the consolidation of this power imbalance.[5] The importance of their markets, military power and these countries' experience and resources enable them to influence, for example, policy prescriptions of international institutions, concepts of law or the hierarchy within the law and to advance national law,[6] in order to secure the interests of their market actors via the transnational effects of law.[7] The 'transnational', as Claire Cutler perceives it, serves the interests of global capitalism. It is a 'political project' which strengthens investor rights against states and keeps corporate responsibility in the realm of soft law.[8]

This paper argues that the 'transnational' is a tool that is not bound to the aim of strengthening investor rights and global capitalism but can also serve particular state interests by using global capitalism while not necessarily prioritising capitalist demands and rationale. In the case of China, the CCP might be able to gain influence by establishing new internal modes of regulation.[9] Since 2014,[10] the CCP is in the process of creating a social

[2] Gregory Shaffer, 'Transnational Legal Process and State Change' (2012) 37 *Law & Social Inquiry* 229, 233–4.

[3] For example, the case of Germany: Three per cent of the German GDP are linked to the Chinese market. The average German firm raises seven per cent of its income in China, for DAX corporations it is 15 per cent, one-third of Infineon's revenues comes from China, for the car industry it is 20 per cent—and the German federal state of Niedersachsen holds 20 per cent of the shares of VW. Infineon is not planning to decrease this dependency but hopes for an increase in sales in China due to the increase in electric cars, which need more chips. Handelsblatt, 'German firms facing perfect storm as Chinese growth slackens' (18 January 2019) www.handelsblatt.com/today/companies/red-scare-german-firms-facing-perfect-storm-as-chinese-growth-slackens-/23884056.html?ticket=ST-7819176-vK9D9ssabe5HdGJSQqTl-ap2.

[4] Christoph Giesen and Max Hägler, Urumqi/München, 'Der Druck auf deutsche Unternehmen steigt' *Süddeutsche Zeitung* (9 June 2021) www.sueddeutsche.de/wirtschaft/china-basf-volkswagen-industrie-eu-uiguren-1.5316206 and Christoph Giesen, 'Chinademonstriert seine Macht' *Süddeutsche Zeitung* (14 June 2021) www.sueddeutsche.de/wirtschaft/china-sanktionen-menschenrechte-1.5320972.

[5] Nico Krisch, 'International Law in Times of Hegemony: Unequal Power and the Shaping of the International Legal Order' (2005) 16(3) *The European Journal of International Law* 369.

[6] *Ibid*.

[7] See Shaffer (n 2) 253.

[8] Claire Cutler, 'Legal Pluralism as the "Common Sense" of Transnational Capitalism' (2013) 3(4) *Oñati Socio-Legal Series* 719.

[9] Possibly with the Cyber Belt and Road Initiative. Fan Liang, Vishnupriya Das, Nadiya Kostyuk and Muzammil M Hussain, 'Constructing a Data-Driven Society: China's Social Credit System as a State Surveillance Infrastructure' (2018) 10(4) *Policy & Internet* 415, 435.

[10] Before 2014 the concept of a social credit system was discussed but was exclusively focused on financial data. See Liang and others (n 9) 424. The main document describing the envisioned nation-wide system combining financial and social aspects is the 'Planning Outline for the Construction of a Social Credit System (2014–2020)', online: https://chinacopyrightandmedia.wordpress.com/2014/06/14/planning-outline-for-the-construction-of-a-social-credit-system-2014-2020/, the original document: www.gov.cn/zhengce/content/2014-06/27/content_8913.htm In section 2, the outline for regulating corporate conduct can be found.

credit system (SCS) with the majority of the data sets focussing on the commercial and financial sectors in order to regulate corporations as well as the financial credit worthiness of individuals. Yet, these are connected to data sets on social behaviour and the aim to control the political discourse.[11] Thus, albeit the financial focus, the SCS has relevance for social and political control.[12] In the envisioned form of the SCS, big data is the desired methodology to establish a unified system. The collection and assessment of data, and thus also the assessment of corporate behaviour, is 'outsourced' to algorithms.[13] Even though it is not yet clear to what extent automation will play a role,[14] it is stated as a desirable aim.[15] At present most research on the SCS focusses on local pilot projects and interpretations of policy documents and its envisioned characteristics and aims. As there is little empirical research on the *de facto* impact on corporations, the analysis presented here is a tentative one. Nevertheless, it can inform the discussion on the political usage of data driven corporate regulation and enrich the literature on transnational law as a political project[16] as well as a method to assess the political character of the private.

The second chapter explores the link between the CSCS (thus the elements of the SCS addressed to corporations) and the 'transnational', including the conception of transnational law as a political project, thus as a subject of analysis, but also as a method for analysis of a transnational legal problem, such as the CSCS. In the third chapter, the transnational nature of some elements of the CSCS, and the system's possible transnational impact, as well as the extraterritorial application of the CSCS, will be analysed through the lens of certain concepts of transnational law.

The article hence seeks to answer the following questions:

(1) What is the relationship between the CSCS and transnational law as political project and what could transnational law as method contribute to the discussion of the CSCS?
(2) What is the potential transnational impact of CSCS on corporate behaviour and the transnational construction and flow of norms?

This paper thus links the topics of data-driven corporate regulation, competing governance systems, economic interdependence and power in

[11] Samantha Hoffman, 'Social Credit: Technology-Enhanced Authoritarian Control with Global Consequences' Policy Brief Report No 6/2018 *The Australian Strategic Policy Institute*, online: https://s3-ap-southeast-2.amazonaws.com/ad-aspi/2018-06/Social%20credit_1.pdf?O3X2xnkGONvJFjK4Z57Xbf06lget_MID=, 7.
[12] For a detailed description of the data sets see Liang and others (n 9) 427–8 and for the political usage of the SCS see Samantha Hoffman (n 11).
[13] European Union Chamber of Commerce in China, *The Digital Hand: How China's Corporate Social Credit System Conditions Market Actors* (2019) 3.
[14] See Liang and others (n 9) 435.
[15] Rogier Creemers, 'China's Social Credit System: An Evolving Practice of Control' (2018), online: https://papers.ssrn.com/sol3/papers.cfm?abstract_id=3175792 26.
[16] As in Cutler (n 8).

international relations. In doing so, it engages with the question where the transnational is located and illustrates another aspect of the transnational as a political project: as a tool of influence using global capitalism *and* serving state interests. In this paper transnational law is thus the method as well as the subject of analysis.

1.1. Methodology and limitations

The analysis of the CSCS, or the 'problem' as Jessup would call it,[17] warrants a method which retraces the movement of law across the distinction of the private and the public, and makes the political character of the private visible as well as the potential political usage of it.[18] Transnational law looks beyond the dichotomies of the domestic and international,[19] as well as the individual and the state—just as the problem at hand does not stop at the borders of these categories as it will be seen below. As the '[b]oundaries between distinctly perceived legal and political, jurisdictionally and systematically perceived systems begin to blur'[20] transnational law focuses on the inner connections and similarities among allegedly different problems, across collapsed boundaries between the domestic and the international.[21] What this means for the CSCS and the transnational as a subject of the analysis will be presented in the following chapters.

It has to be noted that this paper presents an external view on the topic, which may differ from an internal one. Many Chinese citizens welcome the SCS. This approval is mainly shaped by the promise of improved quality of life, increased government oversight, accountability in business affairs and the closure of regulatory gaps.[22] The main incentive for the SCS is not to extend Chinese global influence. The drivers of the system are internal

[17] Philip Jessup, *Transnational Law* (Yale University Press, 1956).
[18] As exemplified in: Cutler (n 8).
[19] Peer Zumbansen, 'Transnational Law, Evolving' in Jan Smits (ed), *Elgar Encyclopedia of Comparative Law* (Edward Elgar, 2nd edn 2012) 898–925, as cited in: Peer Zumbansen, 'Transnational Law, Evolving' (2011) *Comparative Research in Law & Political Economy*, Research Paper No 27/2011, 4.
[20] See Zumbansen 'Transnational Law, Evolving' 6.
[21] *Ibid*, 8.
[22] Genia Kostka, 'China's Social Credit Systems and Public Opinion: Explaining High Levels of Approval' (2019) 21(7) *New Media & Society* 1565, 1565 and 1588: The approval rate is around 80 per cent, 1 per cent disapproves, and 20 per cent is neutral (1573–1575). Kostka indicates that the high approval rate and the very low disapproval rate could be influenced by the study being conducted in an authoritarian setting but other observations indicate that this effect is marginal (1575). Especially well-educated Chinese individuals welcome the system because they expect to benefit from more honest business dealings within the society. The lack of trust and unethical practices for profit maximisation are perceived as a problem within the Chinese society (1585–1586) and this trumps concerns for privacy—also because it is believed that the security apparatus has access to this type of data already (1586); Rachel Botsman, 'Big Data meets Big Brother as China moves to rate its citizens' (Wired, 21 October 2017), online:www.wired.co.uk/article/chinese-government-social-credit-score-privacy-invasion. On the other hand, previous attempts to establish 'morality files' were mocked and the pitfalls of such endeavours publicly discussed. Min Jiang, 'A Brief Prehistory of China's Social Credit System' (2020) 5 *Communication & the Public* 93, 96.

objectives, curing state and society of its 'big and small ills'[23] and using technology for 'social management'.[24] This paper only mentions internal aims and effects of the SCS when they are relevant to the external impact and transnational law as a political project. The research questions thus focus on the implications for those outside the national borders of the PRC. While this is a legitimate focus, and one that is less researched than the internal impact, it is not an analysis of the SCS in its entirety but rather asks the question of how far the CSCS is an example of transnational law as a political project with effects beyond the national.[25]

Furthermore, the SCS is a system in progress as well as a vast enterprise. The SCS, as envisioned in the Planning Outline, is not yet fully implemented and has not yet reached the status of a unified, universal and nation-wide system. At the same time, the aim of assessing the geopolitical and transnational regulatory relevance requires to make predictions. Hence, some parts of the argument are based on the likely development of the system as opposed to certainty. However, the analysis rests on existing example systems which are either local systems of specific regions or cities or which are based on commercial practice (eg, Sesame Credit) or which are nation-wide systems which have a more restricted scope (eg, blacklists) as well as the aims and mechanisms stated in the Planning Outline of the State Council.[26] Nevertheless, most research on the SCS builds on the interpretation of text; empirical research might come to different conclusions on the factual impact of the SCS.

2. The CSCS and transnational law

Although the SCS has attained attention as a dystopian surveillance system for private individuals beyond China, it is actually a wider concept that encompasses the regulation of society and state in general. The SCS is not (yet) a single unified and nation-wide system. The current reality of the SCS is heterogenous and scattered across hundreds of regulations and thousands of documents on the central and local level.[27] There are various

[23] Mareike Ohlberg, Shazeda Ahmed and Bertram Lang, 'Central Planning, Local Experiments: The complex Implementation of China's Social Credit System' (2017) *Mercator Institute for China Studies*, online: https://merics.org/sites/default/files/2020-04/171212_China_Monitor_43_Social_Credit_System_Implementation.pdf 3 and 5.

[24] See Creemers (n 15) 2.

[25] Additionally, it needs to be mentioned that the analysis is based on translations of the main policy documents of the SCS. However, many articles of Chinese academics or scholars who are fluent in Mandarin analyse the original sources as well as the current state of the SCS in detail. In the paper, I thus rely on the work of these scholars.

[26] The 2014 Planning Outline is furthermore regarded as 'the most authoritative blueprint for subsequent SCS efforts', see Creemers (n 15) 4 and 12. In order to exclude the possibility of misidentifying what is the reality of the system and what is envisioned, I reached out to several experts who had analysed the system(s) and the current state of implementation.

[27] See European Union Chamber of Commerce in China (n 13) 3.

systems which can be divided into three groups: central blacklisting-systems, eg, in cases of disobedience to administrative fines or court judgements (thus a law enforcement tool), local systems of cities that have strong 'social credit' components, as well as commercial social credit scores such as Alibaba's Sesame Credit.[28] These systems inform each other[29] as data businesses and the state have undertaken a state-market symbiosis[30] and cooperate in terms of technical set-up of the system as well as data content.[31] The goal is a unified system[32] (although a unified single score is not mentioned) and a digital file on each actor in society.[33] The current reality as seen in the different systems and the envisioned reality of a unified social credit system are taken into account in this paper.

The CSCS is fed with data from several sources and consequently decides on the score of corporate entities active on the Chinese market.[34] State officials then react and take measures that are either sanctions or rewards. Norm abiding corporations can for example obtain tax benefits. The toolkit of sanctions for deviating corporations is diverse and can lead to downgrading, blacklisting and/or exclusion from the Chinese market. The CSCS is promoted as an effective tool for ensuring compliance to the law, contractual obligations and quality standards—something that has been found lacking by many corporations operating in China.[35] Yet, the CSCS has the potential and the aim of becoming more than that. Internally it is supposed to build a 'harmonious Socialist society'.[36] As portrayed by the CCP, the general aim is trust-building on all levels of society, hence on the economic, the individual and the judicial level as well as enhancing trust in government branches.[37] The terms used in the official documents—trust, trustworthiness, credit, social credit and sincerity—are not precisely defined. Sometimes the terms refer to abidance to the law, other times to more blurry concepts such as social morals or family

[28] For a more detailed description of the different models: Daithi Mac Sithigh and Mathias Siems, 'The Chinese Social Credit System: A Model for Other Countries?' (2019) 82(6) *The Modern Law Review* 1034, 1048–53.

[29] Yongxi Chen and Anne SY Cheung, 'The Transparent Self under Big Data Profiling: Privacy and Chinese Legislation on the Social Credit System' (2018) 12 *Journal of Comparative Law* 356, 360–2; See Mac Sithigh and Siems, *Ibid*, 1053 and Creemers (n 15) 24.

[30] Min Jiang and King-Wa Fu, 'Chinese Social Media and Big Data: Big Data, Big Brother, Big Profit?' (2018) 10(4) *Policy & Internet* 372, 384 and 388.

[31] See Liang and others (n 9) 425.

[32] See Chen and Cheung (n 29) 358; 'Planning Outline for the Construction of a Social Credit System (2014–2020)' (n 10).

[33] Jiang and Fu (n 30) 381.

[34] For more details on the scope, sources and aims of the (C)SCS please see part II of this article.

[35] See European Union Chamber of Commerce in China (n 13) 2–9; See Creemers (n 15) 9; See Botsman (n 22).

[36] See 'Planning Outline for the Construction of a Social Credit System (2014–2020)' (n 10).

[37] Chris Fei Shen, 'Social Credit System in China' (2018) 2 *Digital Asia, Konrad Adenauer Stiftung*, www.kas.de/en/web/politikdialog-asien/single-title/-/content/social-credit-system-in-china-2, 23–24 and Adam Knight, 'Technologies of Risk and Discipline in China's Social Credit System' in Rogier Creemers and Susan Trevaskes (eds), *Law and the Party in China* (Cambridge University Press, 2020) 237–62, 240–1.

virtues.[38] These concepts and their imprecise definitions can be a tool of control and can be used for shaping international law and its hierarchy.[39] The trust, which is fostered by the CSCS, is defined as behaviour that is useful to the CCP and its ability to govern: '"Trust" and "morality" have dual meanings in the context of social credit. […] Trust and morality serve their purpose only if they're created on the party's terms.'[40] Definitions are set in the PRC but the consequences of these definitions are more wide-spread.

It is not a novel development to use soft, blurry concepts for regulatory purposes; or to connect transnational law with ideology and interests. Especially during colonial times concepts such as 'civilization' or 'civilized states' were used to establish a hierarchy between states and peoples.[41] Norms which originated in the US or Western Europe often succeeded in entering this transnational sphere as well as national regulation. The states and institutions which had the main economic impact, were the main producers of transnational economic norms[42] due to the power and ability of these actors to introduce them globally, to foster their international as well as national acceptance and to use international law for their stabilisation.[43] The transnational economic and corporate sphere is, among others, regulated by international norms that are negotiated in the inter-state fora between states[44] and to a considerable extent by soft law and regulations that are rather private regulatory norms designed by the market actors themselves.[45] Cutler argues that this transnational amalgam of law in the global political economy—law that is nurtured by state and non-state actors, comprising national, international and transnational sources, using hard and soft law—works to the advantage of private actors and makes transnational law operate as the 'common sense' of contemporary global capitalism.[46]

However, the content of the political project does not have to remain unchanged or unchallenged. Sentiments of global crisis and instability destabilise the authority of ideas and actors that contribute to the (current) common sense. '[C]risis creates uncertainty that destabilizes background assumptions and perceptions of interest regarding legal and institutional change'.[47] It is thus a favourable moment for challenging the status quo and introducing new rules in which a different common sense is embedded.

[38] Marianne von Blomberg, 'The Social Credit System and China's Rule of Law' (2018) 2 *Mapping China Journal* 77, 95–96.
[39] See Krisch (n 5).
[40] See Hoffman (n 11) 6.
[41] See Krisch (n 5) 386, 392–6, 404.
[42] Jan Klabbers, *International Law* (Cambridge University Press, 2016) 281–2.
[43] See Krisch (n 5); See Shaffer (n 2) 250, 253, 258.
[44] Such as multilateral contracts within the WTO regime or international organisations such as the IMF. See Klabbers (n 42) 266–79.
[45] See Krisch (n 5) 398–9; See Klabbers (n 42) 279–84.
[46] See Cutler (n 8) 719, 723.
[47] See Shaffer (n 2) 252.

Transnational corporate governance can be used to do so, eg, in the form of the CSCS. Private actors have been a suitable 'vehicle' for advancing national regulation in the past,[48] linking national regulation and transnational impact. This is even more so today, due to global interdependencies and technological development. In addition to market size and the perception of crisis, the rapid development of a new technology can enhance regulatory power beyond the national. Currently, the CCP is moving technology 'to the centre of nearly all considerations in social, economic, and political reform'.[49] As a country becomes a leading distributor of a technology, it obtains a position that enables it to set standards for the usage of this technology, eg, in governance.

Transnational law used as a method can offer an analytical framework to the CSCS as it follows the movement of law across the domains of the public and the private, the national and the international, the economic and the political. It is difficult to assess the SCS along the contours of public and private as the system 'encourages the flow of big data on individuals amongst public authorities and private entities'.[50] Governance in China has had a broad scope for centuries, encompassing the aim to ensure the morality of the individual, the society and the state. The law is not seen as an autonomous sphere and the boundary between the public and private is blurred, the categories of the legal and the moral intertwined.[51] The SCS reflects this 'holistic' perception of law and is supposed to break geographical and jurisdictional barriers.[52] The CSCS cannot be separated entirely from the SCS which evaluates individual behaviour and thus this problem goes beyond transnational corporate regulation and geopolitics and includes a human aspect. Transnational law takes the human aspect into account and helps to 'embrace a wider and more adequate view of global human activities'.[53]

The SCS is, of course, an instrument within the sovereign power of a state to monitor, regulate and control economic activity on its territory—also to the benefit of the actors for example by combatting fraud and product piracy.[54] This national origin does not contradict the conception of transnational law in this paper. The transnational is not a physical space above the national but a construct linked to the national: '[G]lobalization results in the creation of new forms of association or "global assemblages" that are constituted very much within the "national" and with the participation of local

[48] See Krisch (n 5) 405–6.
[49] Rogier Creemers, 'Cyber China: Upgrading Propaganda, Public Opinion Work and Social Management for the Twenty-First Century' (2017) 26(103) *Journal of Contemporary China* 85, 99.
[50] See Chen and Cheung (n 29) 363–4.
[51] See Creemers (n 15) 4–8.
[52] See Chen and Cheung (n 29) 366.
[53] See Zumbansen (n 19) 4.
[54] See Fei Shen (n 37) 22.

social forces, but possessing global orientations and agendas.'[55] The aims and effects of the CSCS go beyond financial credit ratings or quality control. It will be seen in the following that it might have a direct impact on corporate behaviour, not only within the PRC but also externally within the sphere of corporations and the contest over their regulation.

The external impact of the CSCS builds on the characteristics of transnational law as a political project. It does not necessarily create a legal order above the national but it can have a direct impact on 'individuals, groups, local and national governments at multiple levels of activity'.[56] Simultaneously, transnational law as a method offers a valuable analytical framework to describe the CSCS and makes the political project and its 'mechanism' visible. It captures subtle and evolving relationships between national, international and transnational legality as well as the influences of diverse actors.[57] It 'extends across, and thereby links as well as transcends, different (territorial) "levels"'.[58]

3. The CSCS and its potential impact on corporations and transnational corporate governance and international relations

Data-driven governance is not a Chinese invention and neither are its problematic aspects[59] but the SCS, as envisioned, in its almost all-encompassing scale is unprecedented.[60] While the use of social media data and other data points can be positive for some, for example when the lack of financial history has previously been a hindrance for credit,[61] it can be a curse for others as the use of correlation of different data sets instead of causation can lead to discriminatory practices.[62] Many algorithmic assessment tools operate with flawed proxies that establish harmful correlations in order to predict behaviour, trustworthiness and risk and thereby infringe rights.[63] Yet, in the context of the global political economy and the role transnational

[55] See Cutler (n 8) 727 and Saskia Sassen, *Territory, Authority, Rights: From Medieval to Global Assemblages* (Princeton University Press, 2006).
[56] See Cutler (n 8) 728.
[57] *Ibid.*
[58] Bastiaan van Apeldoorn, 'Theorizing the Transnational: A Historical Materialist Approach' (2004) 7(2) *Journal of International Relations and Development* 142, 144 (original italics).
[59] Various forms of social credit systems with a less universal scope are used in Western societies. See Mac Sithigh and Siems (n 28) 1036–42.
[60] See Fei Shen (n 37) 21.
[61] See Botsman (n 22).
[62] See Mac Sithigh and Siems (n 28) 1043–5.
[63] The IEEE Global Initiative on Ethics of Autonomous and Intelligent Systems, 'Ethically Aligned Design: A Vision for Prioritizing Human Well-being with Autonomous and Intelligent Systems' First Edition, 200. For more examples on flawed algorithms in the United States see: Cathy O'Neil, *Weapons of Math Destruction. How Big Data Increases Inequality and Threatens Democracy* (Penguin Books, 2017). Although mainly a work of advocacy, this book shows the human flaws, corporate interests and logic misconceptions behind algorithmic tools and their (possibly adverse) impact on individuals and social justice.

law plays in it, the CSCS is an interesting example in its potential to re-shape the regulation of corporate action and with it the status quo of international economic influence and the content of the political project.

Cutler argues that law is a function which 'produces discourses of truth by mediating conflicting claims to power, to knowledge, and to right',[64] thus emphasising the contest of ideas and interests in law. This function results in the political project of transnational law which embodies 'the common sense of transnational capitalist legality'.[65] With this theoretical conception in mind, this chapter describes some features of the CSCS (as implemented and as envisioned) in order to understand the impact on corporations as well as its potential to change in the 'common sense' of corporate regulation.

3.1. The features of the CSCS and their impact for corporations

The data for the CSCS is derived from very diverse sources. Next to inspections and data transmitted by the companies themselves, the CSCS uses video surveillance and the data of third parties such as Alibaba or Tencent to monitor and consequently rate the corporations.[66] In addition to this mass of data and concerns about data security and access,[67] Hoffman shows in her analysis that the 'market and legal data that make up a person's or entity's credit record is intrinsically political, while input sources can be simultaneously political and non-political'.[68]

Data, which are largely based on reputation, eg, derived from traditional and social media, contribute to the scoring.[69] This factor calls into question the objectiveness of the system. When non-Chinese companies issued statements or posts in the past, which were not in line with the CCP foreign policy, outraged reactions of social media users caused these foreign

[64] See Cutler (n 8) 722.
[65] *Ibid*, 723.
[66] See European Union Chamber of Commerce in China (n 13) 13–16.
[67] This mass of data from various sources highlights the necessity of the safe storage and security of data. Previous research indicates that there is no guarantee and no clear legislation preventing the state to use its position to gain unwanted access, see Stein van Deursen, HRBM Kummeling, 'The New Silk Road: a bumpy ride for Sino-European collaborative research under the GDPR?' (2019) 78(5) *Higher Education* 911 and also, Jiang, Fu (n 30). The various data sets taken in isolation might not be a problem for corporate data integrity but taken together the mass of data could lead to exposure of sensitive data points, see European Union Chamber of Commerce in China (n 13) 4. This can be convenient for the state and its intelligence agencies (as in case of the corporation SWIFT in the context of gathering intelligence for 'the war on terror' by the US and Europe (Henry Farrell and Abraham Newman, 'Weaponized Interdependence: How Global Economic Networks Shape Global Coercion' (2019) 44(1) *International Security* 42, 65–70) but it also raises concern with regard to third actors gaining access. In Shanghai the state entrusted a private credit company to develop the credit scores for Shanghai citizens (see Chen and Cheung (n 29) 369). A certain risk of fraud and data manipulation exists as there are no sufficient checks and balances at the moment, see Fei Shen (n 37) 30.
[68] See Hoffman (n 11) 6.
[69] See European Union Chamber of Commerce in China (n 13) 23.

companies to adopt the official position of the CCP on foreign policy matters.[70] While such comments can be genuine and could be considered a matter of PR, it has been found that 448 millions of social media comments a year are not genuine opinions but fabrications by government employees linked to the propaganda office.[71] Thus, some data that flow into the score might not be focussed on economic trustworthiness and quality standards but political loyalty. An algorithm might carry out the ultimate assessment[72] but what happens 'backstage', meaning the operationalisation of the system (how is data gathered, aggregated and analysed)[73], sometimes remains opaque. In local models in Qingzhen and Rongcheng transparency is lacking as to how exactly scores are assigned to individuals and organisations,[74] yet, Rongcheng is praised to have the most developed and comprehensive social credit system that serves as a role model for other cities and regions.[75] In this way, discourse can be controlled and this discourse, enriched with claims to knowledge and right, enters into the sanction-benefit system and feeds into a knowledge structure that serves a political project.

The CSCS does not draw a clear line between legal and illegal behaviour but uses 'scale ratings',[76] a feature that provides a 'continuous scale between "good" and "bad" behaviour'. This nudges the actors towards compliance[77] and creates competition between companies to come as close to 'good behaviour' as possible and provides an opportunity to pressure companies in a more indirect way than when there is merely the legal-illegal distinction. A fine for illegal behaviour is more easily paid than a loss of reputation is repaired. A loss of reputation does not need to be linked to illegal behaviour, yet it can cause business partners and customers to change their behaviour

[70] After citing the Dalai Lama in an apolitical matter and posting it on Instagram, Daimler encountered severe criticism from China. Daimler responded by deleting the post and said it sincerely accepted all criticism and would take every action to increase its "understanding of China's culture and values." Sui-Lee Wee, 'Mercedes-Benz Quotes the Dalai Lama. China Notices. Apology Follows' *New York Times* (6 February 2018), online: www.nytimes.com/2018/02/06/business/mercedes-daimler-dalai-lama-china.html. Mercedes-Benz is only one example, 'Delta Air Lines and Zara were reprimanded by authorities for listing Taiwan and Tibet as countries on their websites.' Pei Li and Adam Jourdan, 'Mercedes-Benz apologizes to Chinese for quoting Dalai Lama' *Reuters* (6 February 2018), online: www.reuters.com/article/us-mercedes-benz-china-gaffe-idUSKBN1FQ1FJ.

[71] Gary King, Jennifer Pan and Margaret E Roberts, 'How the Chinese Government Fabricates Social Media Posts for Strategic Distraction, not Engaged Argument' (2017) 111(3) *American Political Science Review* 484. In recent years a change in the social media landscape has taken place which led to party and government microblogs replacing formerly influential bloggers. See Creemers (n 49) 93.

[72] Not in the case of blacklists, but for example, in the local models and the envisioned unified system.

[73] Some of these questions are answered here: Liang and others (n 9) 421. Yet, this analysis is not comprehensive of the entire SCS as the required information is only available for some agencies collecting, aggregating and analysing data.

[74] See Fei Shen (n 37) 30.

[75] See Knight (n 37) 251–2.

[76] See European Union Chamber of Commerce in China (n 13) 12.

[77] See Creemers (n 49) 97.

towards the company for a considerable amount of time. The regulation hence becomes 'softer' and more informal but not necessarily less efficient and the scale between good and bad behaviour offers more space to accommodate values and political rationale.

'Joint Sanctions'[78] are present in blacklist-models as well as local models and 'amplify the consequences of a particular behaviour beyond the original context'.[79] For corporations, this means that a transgression in one sector, eg, a tax offence, can have an immediate effect on the question whether the corporation will be able to provide its services in general.[80] Some transgressions and behaviours, which have been merely a legal risk, thus become a business risk for the companies.[81] In future assessments, the number of inspections is adapted to the number of previous transgressions. Although this seems to be rational, it creates the possibility that a transgression, which is not related to for example product quality, leads to a lower score. The term 'efficiency' used in this context 'includes the meaning that any sanction against a company filed on the company's credit record could trigger sanctions under other relevant legislation'.[82] Next to amplifying sanctions in one specific field joint sanctions also connect legal fields that are largely perceived as distinct in the current common sense of transnational law.

The surveillance strategies of the state have been described as a 'panspectrum'[83]—as it is no longer one central authority that watches everyone simultaneously, as in a 'panopticon', but many different 'sensors' that intrude all aspects of social and economic life. The CSCS does not strictly separate the individual in the workplace from the individual as a private citizen. The personal score of the company's legal representative or a key employee can influence the corporation's scoring. Vice versa, the corporation's scoring influences the individual scoring of its key employees.[84] This correlation puts pressure on the company to monitor their employees not only in their function as workforce but to take interest in their lives as private citizens as well. Furthermore, 'publicity' and 'reputation' are pillars of the system. While not all types of data will be publicly disclosed to everybody,[85] publicity of certain social credit data is supposed to function as an additional disciplinary tool that evokes public criticism and social pressure.[86] This

[78] See European Union Chamber of Commerce in China (n 13) 11.
[79] See Chen and Cheung (n 29) 365.
[80] See European Union Chamber of Commerce in China (n 13) 15.
[81] This can also have a positive impact on anti-corruption measures, as the stakes lie higher in case of transgression. Eric Carlson and Helen Hwang, 'China's Social Credit System applies to companies and impacts compliance' (The FCPA Blog, 5 September 2019), online: https://fcpablog.com/2019/09/05/chinas-social-credit-system-applies-to-companies-and-impacts/.
[82] See Hoffman (n 11) 6.
[83] See Creemers (n 49) 96.
[84] See European Union Chamber of Commerce in China (n 13) 23.
[85] but around three quarters of the data sets, see Liang and others (n 9) 428.
[86] See Chen and Cheung (n 29) 370.

characteristic amplifies the human aspect (of shame and the ambition to succeed professionally and personally) within this transnational problem. It can also inform a change in the 'common sense' of corporate regulation from within a corporation, by connecting the employee to the reputation of the company and its economic success.

Furthermore, the rating of a company's business partners has an impact on the company's score[87] and thus provides an incentive to the corporation to monitor the behaviour of their business partners.[88] This incentive could also be present for business partners operating outside of the PRC. For example, if such a business partner treats Taiwan as a sovereign country, this could be judged by the CCP, alias the algorithm, as contravening trustworthiness according to the Chinese perspective and this in turn would not just concern this particular company but might influence the rating of its partner in the PRC. Companies offering online services across borders might be affected as well. Zoom Video Communications decided to interrupt virtual meetings in the memory of the Tiananmen massacre and deleted accounts of participants due to the pressure of Chinese state officials who regard the virtual meetings as illegal.[89] Since there was no technical possibility to end the session of only those participants with an IP address from mainland China, the sessions of the participants in the US and Hong Kong were also shut down.[90] Whereas this particular example is not connected to the CSCS, it shows that transnational effects occur already when it comes to values and ideology in the law. 'Insubordinate businesses […] carry political risks. Yet, the political and economic necessities of cooperation [with the Chinese government] often outweigh their dissension'.[91] Hence, this example shows that it is an established theme of the CCP to coerce companies into complying with the expectations and state rational of the CCP and that it is an established aim to enhance the CCP's ability to control the discourse outside China's borders. The crucial point is that the CSCS broadens the possibilities for the CCP to do so[92] and

[87] See European Union Chamber of Commerce in China (n 13) 12–13.

[88] See Carlson and Hwang (n 81). Attaching responsibility to corporations for the behaviour of their business partner and companies in their supply chain is also attempted by US-American, Australian and European laws, eg *the Loi de vigilance* (Légifrance, LOI n° 2017-399 du 27 mars 2017 relative au devoir de vigilance des sociétés mères et des entreprises donneuses d'ordre, online: www.legifrance.gouv.fr/affichTexte.do?cidTexte=JORFTEXT000034290626&categorieLien=id), the British *Modern Slavery Act* (The National Archives, Modern Slavery Act, 2015, online: www.legislation.gov.uk/ukpga/2015/30/contents/enacted) and the *Lieferkettengesetz* (supply chain law) adopted by the German Bundestag in June 2021.

[89] Friederike Böge, 'Zensurvorgaben global umgesetzt. Zoom beugt sich China' *Frankfurter Allgemeine Zeitung* (12 June 2020), online: www.faz.net/aktuell/politik/ausland/zoom-setzt-chinesische-zensurvorgaben-global-um-16812270.html.

[90] Zoom, 'Improving Our Policies as We Continue to Enable Global Collaboration' (Zoom Blog, 11 June 2020), online: https://blog.zoom.us/wordpress/2020/06/11/improving-our-policies-as-we-continue-to-enable-global-collaboration/.

[91] See Jiang and Fu (n 30). 384.

[92] See Hoffman (n 11) 4.

makes this influence indirect. Digital companies like communication services or booking tools, are often border transcending. If the CSCS applies to such digital corporations and they decide to act according to it, the corporation will take the rules of the CCP with it across borders. It might no longer be necessary to order a corporation to shut down online sessions of participants outside of China (an action that risks a public reaction as it was the case in the Zoom example) but corporations will know that online events that are perceived as endangering state security will have a negative effect on the companies' scores and they might thus choose to act pre-emptively to avoid the consequences. These private actors then act according to an emerging knowledge structure and certain conceptions of right out of their own perceived interest.

A certain informality can be perceived in the features of the scale ratings as well as the features connecting different corporate actors as well as the individual and the corporation, as the boundaries between law, (corporate) culture and informal agreements begin to blur. This makes governance subtler and thus easier to transport. Informality 'offers the advantages of being more flexible, speedier, less public and politically contentious, and less constraining on freedom of action', it minimises 'the impediments to cooperation at both the domestic and international levels'.[93]

Lastly, the intrusiveness of the system makes the possibilities to obtain legal remedies all the more important. Information on remedies or judicial review is not comprehensive at the moment and there are no uniform standards for credit repair.[94] In the field of data protection, the lack of an independent authority to monitor compliance to data protection regulations as well as the lack of independent and authoritative judgements in court, make effective judicial review questionable.[95] Currently, the blacklisting system of the State Administration for Taxation has a '"credit repair mechanism" that provides for correction of or relief from the blacklist under certain conditions'.[96] With regard to the envisioned universal SCS, it seems that a bad score and 'shameful' disclosed data do not remain attached to the corporation eternally. Five years after the discredited behaviour or after the generation of the record, the disclosed data is no longer publicly accessible.[97] Credit restoration is possible to a limited extent via

[93] Charles Lipson, 'Why are Some International Agreements Informal?' (1991) 45(4) *International Organization* 500 as referred to by Cutler (n 8) 729.
[94] See Ohlberg, Ahmed and Lang (n 23) 11.
[95] See van Deursen and Kummeling (n 67) 924.
[96] See Mac Sithigh and Siems (n 28) 1050. According to official documents, individuals have to be informed before they are added on a blacklist and should have the right to appeal. In practice however, there have been cases in which individuals were not informed and did not have recourse to appeal. See Creemers (n 15) 19.
[97] See Chen and Cheung (n 29) 372.

applying for administrative reconsideration and legal remedies exist via administrative litigation in court.[98] Yet, eg, the aspect of 'naming and shaming' can unfold effect beyond the specific perpetrator making it difficult to uphold legal principles such as *nullum crimen sine lege*. Another hindrance to entities wishing to invoke legal remedies is the lack of transparency and clarity.[99] With regard to blacklists not all entries are open for reconsideration or restoration. Some entries require a certain publicity period to pass (between several months to five years) before the company can apply for credit restoration.[100] Hence, it does not seem that there are effective remedies that match the intrusiveness of the SCS and that prevent unfair treatment but that there are rather ways to ask for mercy in order to obtain another chance on the Chinese market.[101] Uncertain prospects of effective legal remedies enhance, once more, the incentive to adopt the values and rationale of the CSCS pre-emptively which fosters the notion that this is simply common sense: Capitalist common sense incorporating state-capitalist common sense.

In consequence, companies might face two options: Attaining high scores or risking lower scores and losing economic and financial access as well as government support and public services.[102] To attain good scores a company has to fulfil the requirements of the CSCS, some of which are transparent and others vague and easy to instrumentalise.[103] The same is true for sanctions and benefits which are sometimes only vaguely described.[104] This creates leeway for discretion and assessment according to political aims and a corporation might have to incorporate a broader value system in their inter- and intra-corporate practices.

Several CSCS features foster the values and interests of the CCP towards several actors so that present knowledge structures regarding corporate governance can be altered and alternative claims to knowledge, right and power are strengthened in their authority. The private is politicised and used as a tool to include new aspects in the current common sense of transnational corporate regulation. Nevertheless, it is not certain that corporations will act according to this new common sense as they could be faced with conflicting obligations or incentives and the remaining old common sense at least as far as their activities are subject to US and EU influence.[105] In the

[98] See European Union Chamber of Commerce in China (n 13) 18–19.
[99] See Blomberg (n 35) 96–98.
[100] See European Union Chamber of Commerce in China (n 13) 18–19.
[101] MERICS notes that 'documents have not yet addressed the problem of long-term reputational damage that comes along with being publicly shamed for what may be relatively minor infractions'. See Ohlberg, Ahmed and Lang (n 23) 11
[102] See Liang and others (n 9) 420.
[103] See European Union Chamber of Commerce in China (n 13) 30.
[104] See Fei Shen (n 37) 25.
[105] An example is the challenge of collaborative research and data sharing between the EU and China under the GDPR and the Chinese data protection regime. See van Deursen and Kummeling (n 67).

conception of Jessup, the CSCS is a 'transnational legal problem' as it spans across corporate, geopolitical as well as individual spheres. It does not only determine legality and illegality of a behaviour but in addition uses more fluid means to assess and influence behaviour and shapes the transnational construction and flow of norms. Hence, the CSCS could mark a new chapter in the global regulatory contest over corporate governance and the international economic order.

3.2. The CSCS as a technology-governance-hub and as a driver for practical change

The CSCS has direct consequences for corporations and their employees and as a result it influences interests and values fostered in global corporate regulation. Additionally, it could also be used as a governance tool within the realm of international relations, be it for sanctions and co-optation or economic coercion. In their research, Farrell and Newman focus on asymmetric network structures that create interdependence but not to the benefit of all but rather they 'create the potential for "weaponized interdependence" in which network topography generates enduring power imbalances'.[106] The CSCS, the institutions regulating it and the corporations providing data and technical assistance for the assessment are located in the PRC and this could create a new 'hub' in the global network structure if the rating system becomes a requirement for economic interaction. Hubs, even when they serve a global network, are controlled locally by the states in which the companies and institutions of that hub are physically present. Recently, a transition has taken place in China from many medium-size companies to large dominant players in the Chinese Internet environment. The monopoly that corporations such as Baidu, Alibaba and Tencent possess, results in the ability of the state to regulate the majority of online activities if it controls these companies[107] or:

> [S]tates with political authority over central nodes in international network structures through which money, goods, and information travel are uniquely positioned to impose costs on others. If they have appropriate domestic institutions, they can weaponize networks to gather information or choke off economic and information flows, discover and exploit vulnerabilities, compel policy change, and deter unwanted actions.[108]

The US used its strategic position regarding financial hubs to enforce the sanctions on Iran and influenced the behaviour of companies even if they had no presence on the US market. It could thus impose their foreign

[106] See Farrell and Newman (n 67) 45.
[107] See Creemers (n 49) 95.
[108] See Farrell and Newman (n 67) 45.

policy on its partners.[109] The institutions and private actors connected to the CSCS could create a new data and corporate governance hub. '[C]ontrol over the massive amounts of data produced in China's cyberspace may well become high-value currency in the political stakes'.[110] Just as the SCS makes surveillance subtler than it was before,[111] the characteristics of the CSCS make the political usage of a technological hub subtler. The 'sites' for regulating this data and defining the contours and usage of the SCS, eg, institutions, ministries, agencies and private actors, are crucial for transnational law as a political project: 'They are significant in generating perceptions of the legitimacy of the disciplines that these institutions impose upon states as common sense.'[112] Law is not just a solution to a problem but the law is a tool to shape interpretation. It 'produces and stocks interpretive patterns and visions of life which shape people's ways of organizing social experience, giving it meaning, qualifying it as normal and just or deviant and unjust'.[113] The 'sites' that define and regulate and use the CSCS are located in China and thus have an influence on the perception of the legitimacy of the CSCS and its values. They feed into the transnational conception of fairness in global trade and cooperation as well as the requirements for cooperations, introducing a certain (political) conception of trustworthiness as 'normal' and 'just'.

It can be assumed that in the long run, the concept of 'trustworthiness' as understood and used in the CSCS will evoke secondary effects on corporations, institutions and individuals that are not present in China. This has already become a reality with regard to NGOs[114] as well as European politicians who intend to visit Taiwan and face hindrances not just by Chinese officials but by their own country's government that fears economic consequences.[115] This indicates that future practices within the CSCS might also strengthen a system that is built on buying loyalty of influential individuals for political and strategic aims.[116] The CSCS can serve as a tool to enhance the influence of the CCP by co-optation,[117] binding foreign individuals such

[109] *Ibid*, 42–79.
[110] See Creemers (n 49) 100.
[111] See Liang and others (n 9) 420.
[112] See Cutler (n 8) 727.
[113] Günter Frankenberg, 'Critical Comparisons: Re-Thinking Comparative Law' (1985) 26(2) *Harvard International Law Journal* 411, 438.
[114] Andreas Landwehr, 'Brisantes Handbuch: China schnürt ausländischen NGOs die Luft ab' *Neue Zürcher Zeitung* (6 May 2018), online:www.nzz.ch/international/brisantes-handbuch-china-schnuert-auslaendischen-ngos-die-luft-ab-ld.1383554; Kai Strittmatter, *Die Neuerfindung der Diktatur. Wie China den digitalen Überwachungsstaat aufbaut und uns damit herausfordert* (Piper, 2019) 195.
[115] For example, the case in the Czech Republic: Jichang Lulu, 'China's "economic diplomacy" in the Czech Republic: From promises of investment to threats of retaliation' (2020) *Sinopsis*, online: https://sinopsis.cz/en/embassy-threats/.
[116] Martin Hála, 'China's gift to Europe is a new version of crony capitalism' *The Guardian* (18 April 2018), online: www.theguardian.com/commentisfree/2018/apr/18/chinese-europe-czech-republic-crony-capitalism.F.
[117] Co-option and coercion are the tools used to incentivise subjects to participate in the wider 'social management' narrative of the CCP—of which the SCS is a part. Samantha Hoffman, 'Managing the

as the CEOs of a company to the political aims of the CCP. Up to now, the efforts of the CCP to harvest economic influence and transform it into political influence had to be communicated rather directly and could thus spark discussion and public resistance in the respective countries. With the CSCS this is more difficult as, seemingly, the algorithm determines the regulatory outcome. The aspect of co-optation highlights the importance of the human aspect, the role of the individual, once more. Key employees of big corporate companies are connected across borders and have private and professional aspirations, fears, economic dependencies and interests. Their personal satisfaction is partly reliant on their social and economic standing.[118] The CSCS nudges individuals with the promise of increased benefits and wealth and threatens them with the exclusion from economic and social life.[119]

It is an openly communicated ambition of the Chinese government to transcend the Chinese market and use the scoring system as a soft power instrument for gaining international influence.[120] The CSCS might result in 'symbolic change',[121] thus change of law in other legal systems. Some states show interest in the credit system[122] and see it as an example worth imitating. The threshold for integrating some of the system's norms and values into national legislation and practice might be relatively low if one or several means of influence apply: coercion, reciprocity, persuasion and acculturation.[123] The CSCS could, for example, enter the national sphere and create symbolic change due to economic dependence, the perception of legitimacy of embedded norms and values or the resonance with a local (elite) identity, nepotism or an authoritarian culture of governance. Another reason for symbolic change might be considerations of effectiveness or speedy economic development (China being perceived by some as a prime example for it). Yet, the perspective of transnational law as a method allows to incorporate other forms of impact such as a change in institutional and social practice and individual behaviour, thus practical change.[124] The EU

State: Social Credit, Surveillance and the CCP's Plan for China' (2017) 17(11) *China Brief*, online: https://jamestown.org/program/managing-the-state-social-credit-surveillance-and-the-ccps-plan-for-china/.

[118] The Sesame Credit Score has become a status symbol and can for example affect the likeliness of getting a date through the online dating platform Baihe. A high Sesame Score can enable a Chinese citizen to use the fast-track application for the Schengen visa. See Botsman (n 22).

[119] See Creemers (n 49) 99.

[120] See European Union Chamber of Commerce in China (n 13) 32 and 34; See 'Planning Outline for the Construction of a Social Credit System (2014–2020)' (n 10).

[121] See Shaffer (n 2) 237.

[122] Sebastian Heilmann, '19. Parteitag der KP China: Die Digitalisierung spielt der Kommunistischen Partei in die Hände' (2017) *Mercator Institute for China Studies*, online: www.merics.org/de/china-flash/19-parteitag-der-kp-china-die-digitalisierung-spielt-der-kommunistischen-partei-die.

[123] See Shaffer (n 2) 249–50, 254–5.

[124] *Ibid*, 237.

classified China as a strategic partner but also as a systemic rival.[125] States that have competing political and value systems to the Chinese one might be less willing to be directly influenced by CSCS but the construction and flow of norms can be much more subtle in a globalised and interdependent economy. The network of Western corporations across the world has been securing Western influence for centuries,[126] and has made the transnational political project one that mainly serves capitalist interests. Now, this corporate network and capitalist common sense can be used by the CCP to foster its own interests.

Practical change within the business realm can currently be perceived in censorship outside of China—while censorship is 'still often ineffective in the form of open threats to media outlets, [it] works well with companies seeking business in China'.[127] Once co-optation has been established and has strengthened the dependency of an economy or a national elite, coercion or the possibility to use coercion becomes more effective. This is thus a possible route for a transnational legal process that can lead to practical change, giving the CCP more weight in the construction and flow of norms. In addition, the co-optation of influential individuals and corporate players further increases the Party's ability to influence the discourse outside China's borders. Control over discourse and language is not only perceived as a soft power instrument but as a security issue by the CCP.[128] In the conception of transnational law as a political project, this is not farfetched: The CSCS harvests the economic power of the PRC and influences the discourse and thereby knowledge structures and conceptions of right. Consequently, this results in an increasingly authoritative claim of power in the global political economy.

4. Conclusion

This analysis has shown that the CSCS is border transcending in many ways. Its characteristics amplify the intertwinement of legal categories and emphasise the factor of the individual in corporate decision-making which makes this national regulatory tool a transnational legal problem. It is a transnational legal problem that exemplifies the political aspects of transnational law and as such it is a subject of this paper. Currently, the transnational political project is working towards corporate and capitalist interests; it is described as creating a common sense within the global political economy.

[125] European Commission, 'Joint Communication to the European Parliament, the European Council and the Council: EU-China—a Strategic Outlook'(12 March 2019), online: https://ec.europa.eu/commission/sites/beta-political/files/communication-eu-china-a-strategic-outlook.pdf.

[126] And Western economic interest in China and the pursuit of power was consolidated via Western corporations and by international law. See Krisch (n 5) 383–4, 402.

[127] Martin Hála and Jichang Lulu, 'The CCP's model of social control goes global' (2018) *Sinopsis*, online: https://sinopsis.cz/en/the-ccps-model-of-social-control-goes-global/.

[128] See Hoffman (n 11) 7–8.

Yet, this current common sense is not immune to change. The CSCS can be used to control discourse, influence knowledge structures and enhance claims to right and ultimately power.

The possible impact of the CSCS on individuals and corporations is connected to its highly flexible and partially opaque nature. The various ways that allow the social management of individuals and entities, its sources which can be political as well as non-political, the vagueness of some terms as well as the informal character of some features stand in contrast to the legal possibilities to respond to them. This can foster anticipatory obedience—or, put differently, a change in corporate culture and the common sense of corporate regulation.

Chapter II has shown that the CSCS can result in an extraterritorial effect and in the flow of norms as it influences corporations to act according to a political project that is linked to CCP's version of state-capitalism. Since corporations operate transnationally there is a chance that they transport this political project via individuals, business partners, supply chains or customers across the PRC's borders. The mechanisms behind the CSCS recreate an old play on a slightly altered scene. The topic of the play is well-known. Internally, it is the maintenance or re-centralisation of the power of the CCP and the use of 'flexible' and 'moralistic' approaches to governance as opposed to a 'stiff' legalistic method.[129] This internal development has a transnational impact. If the PRC becomes a leading 'distributor' of knowledge on algorithmic regulation, a central node for transnational data and the location of a hub for corporate governance, this is a source of influence. It is not a new development that the PRC uses interdependence structures to shape the (political) behaviour of corporations—neither is the PRC the only country to do so.[130] Yet, the tools with which this game is played change. The CSCS thus becomes an enforcement tool for the CCP's political aims in its international relations.

Hence, the CSCS is not just an example for corporate regulation on the basis of big data or a technological value-neutral solution for enhancing abidance to the law but highlights the fact that regulation is political and that the private is politicised in transnational law. Algorithms function according to men-made, or state-official-made, and interest-based models, which comprise values, ideology and interests. With the CSCS and, thus, through the corporate door and state-run algorithms, the CCP might be able to set alternative standards for international economic and business regulation, gain control over discourse and alter the common sense of transnational corporate regulation to its advantage and to stabilise or enhance its power in the international sphere.

[129] See Creemers (n 15) 4–6 and 28.
[130] See Krisch (n 5) 405.

Next to transnational law as a political project, this example also shows that transnational law as a method can serve as a valuable framework for the analysis of the CSCS as a transnational legal problem. Concepts of transnational law, such as symbolic and practical change, follow the 'movement' of law across the legal distinction of public and private and serve as a lens through which the mechanism of the system and its transnational impact are made visible. It shows how a national system can have transnational effects, not only in terms of adoption of a foreign law within a certain legislation, but potentially by effecting small and gradual changes in individual and corporate behaviour, thus practical change. This change happens on the level of individuals and their aspirations, identities, fears and societal and economic needs. This highlights the importance of the human factor when analysing such regulation, which is crucial in the context of competing governance systems that make gradual practical change more likely than symbolic change.

This article touched upon transnational law as a political project and the possibility that the CSCS alters the content of this political project to the benefit of the Chinese government. The private is politicised but it remains to be seen into which direction the common sense of transnational corporate regulation will ultimately develop. The article also used transnational law as a method to trace the construction and flow of norms in the context of geopolitical as well as technological change: New regulatory tools can be based on new technologies, as it is the case with the CSCS. This demonstrates the symbiotic relationship between regulation, technological development and the maintenance, enhancement or loss of transnational influence. This strategic and flexible norm diffusion of powerful states, which the CSCS might be an emerging example of, underlines the relevance of transnational law as a problem-oriented and border-transcending analytical framework.

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